

Standard Chartered Plc (HK) (2888)

Model Update

We are updating our model prior to the 1Q26 results and for changes to the Group's financial disclosures. We are raising our currency-weighted average rate assumptions – now assuming average rates of 305bps/298bps for FY26/27 (vs the current management assumptions of 298bps for FY26) – and now forecast NII to grow 1% y/y in 2026. We are also increasing AT1 costs, along with a higher IFRS9 provision in 1Q driving a 1% decline in EPS for FY26, and limited changes thereafter. We are keeping our Dec-26 PT unchanged at HK\$270, and maintain our OW rating.

Overweight

2888.HK, 2888 HK

Price (14 Apr 26): HK\$183.60

Price Target (Dec-26): HK\$270.00

Hong Kong

Banks & Financial Services

Katherine Lei ^{AC}

(852) 2800-8552

katherine.lei@jpmorgan.com

J.P. Morgan Securities (Asia Pacific) Limited/ J.P. Morgan Broking (Hong Kong) Limited

Lincoln Yu

(852) 2800 8523

lincoln.yu@jpmorgan.com

J.P. Morgan Securities (Asia Pacific) Limited/ J.P. Morgan Broking (Hong Kong) Limited

Haomin Chen

(86-21) 6106 6347

haomin.chen@jpmorgan.com

SAC Registration Number: S1730524080002

J.P. Morgan Securities (China) Company Limited

Kian Abouhossein

(44-20) 7134-4575

kian.abouhossein@jpmorgan.com

J.P. Morgan Securities plc

Sheel Shah, CFA

(44-20) 7134-8455

sheel.shah@jpmorgan.com

J.P. Morgan Securities plc

Key Changes (FYE Dec)

	Prev	Cur	Δ
Adj. EPS - 26E (\$)	2.27	2.26	-0.7%
Adj. EPS - 27E (\$)	2.73	2.75	0.7%

Quarterly Forecasts (FYE Dec)

Adj. EPS (\$)	2025A	2026E	2027E
Q1			
Q2			
Q3			
Q4			
FY	2.26	2.26	2.75

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top)			
		6M	1Y	3Y	5Y
Value	31	35	34	31	31
Growth	25	39	61	30	83
Momentum	33	23	11	5	63
Quality	11	78	89	42	89
Low Vol	31	26	21	33	63

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

See page 5 for analyst certification and important disclosures, including non-US analyst disclosures.

Price Performance



	YTD	1m	3m	12m
Abs	-2.8%	11.6%	-4.5%	84.5%
Rel	-3.7%	10.0%	-0.3%	63.7%

Company Data

Shares O/S (mn)	2,322
52-week range (HK\$)	206.00-96.00
Market cap (\$ mn)	54,442
Exchange rate	7.83
Free float (%)	100.0%
3M ADV (mn)	1.46
3M ADV (\$ mn)	33.9
Volatility (90 Day)	39
Index	HSI
BBG ANR (Buy Hold Sell)	16 6 4

Key Metrics (FYE Dec)

\$ in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Net interest income	11,184	11,264	11,542	12,022
Non interest income	9,645	10,751	11,630	12,343
Operating expenses	(13,145)	(13,307)	(13,313)	(13,701)
Adj. PPOP	7,684	8,708	9,859	10,664
Provision for loan losses	(672)	(996)	(1,034)	(1,154)
Adj. PBT	7,860	7,764	8,877	9,562
Adj. net income	5,443	4,998	5,864	6,353
Adj. EPS	2.26	2.26	2.75	3.10
BBG EPS	-	-	-	-
DPS	0.61	0.79	0.96	1.09
Loans	286,788	298,353	310,551	323,458
Deposits	530,161	570,806	604,502	632,344
Total Assets	919,955	957,381	996,751	1,038,417
Margins and Growth				
NIM	2.0%	1.9%	1.9%	1.9%
Ratios				
Loan/ Deposit ratio	54.1%	52.3%	51.4%	51.2%
NPL / Loans	2.1%	2.0%	2.0%	1.9%
Coverage	51.8%	51.8%	51.8%	51.8%
CET 1	14.1%	13.8%	13.9%	14.1%
Non-int. income/ Income	46.3%	48.8%	50.2%	50.7%
Cost/Income	63.1%	60.4%	57.5%	56.2%
LLP/Loans	(0.2%)	(0.3%)	(0.3%)	(0.4%)
ROA	0.6%	0.5%	0.6%	0.6%
ROE	12.0%	10.6%	12.1%	12.6%
Valuation				
Dividend yield	2.6%	3.4%	4.1%	4.6%
Adj. P/E	10.4	10.4	8.5	7.6
P/ BV	1.1	1.1	1.0	0.9

Summary Investment Thesis and Valuation

We view StanChart as undervalued relative to the sector/EM peers at 1.2x PTNAV 27E with significant earnings growth potential supported by structural growth drivers and relatively high capital return. With the Group's 24-26E targets already achieved by FY25 across revenues and distributions, we now forecast ~5% revenue growth CAGR across '25-28E driven by non-NII in '26E, and broadening out to both NII/non-NII in outer years. We see this led by Wealth (driven by Affluent segment opportunities), Financial Markets (alongside cross-border income) and Banking. We expect NII to be flat in FY26 y/y due to lower rates and pass throughs offset by volume growth. We expect cost growth at ~3.5% CAGR for '25-28E as we expect growing investments in the future to capitalize on productivity and revenue opportunities, with positive operating leverage annually and the CIR to decline towards mid-50s. Overall, we expect stated ROTE to grow to ~15%, alongside a 35% dividend payout ratio and \$2bn/y buybacks, offering a total yield of 7-8%/y.

Our Dec-26 PT of HK\$270 is derived from our DDM analysis with NAV discounted back to Dec-26 from FY28E and a fair P/B of 1.5x. Our key assumptions are a normalized ROE of 11.9% and a cost of capital of 9.3%.

Performance Drivers

Market	22%
Region	11%
Macro	32%
Style	0%
Idiosyn.	36%

Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.41	0.59
Region: Hong Kong	0.63	0.44
Macro:		
HSI Volatility Index	-0.45	-0.53
JPM Global Equity Sentiment	0.30	0.28
JP Morgan EMBI Global Spread	-0.16	-0.18
Quant Styles:		
Value	0.09	0.13
LowVol	0.13	0.08
DivYld	0.07	0.05

Investment Thesis, Valuation and Risks

Standard Chartered Plc (HK) *(Overweight; Price Target: HK\$270.00)*

Investment Thesis

We view StanChart as undervalued relative to the sector/EM peers at 1.2x PTNAV 27E with significant earnings growth potential supported by structural growth drivers and relatively high capital return. With the Group's 24-26E targets already achieved by FY25 across revenues and distributions, we now forecast ~5% revenue growth CAGR across '25-28E driven by non-NII in '26E, and broadening out to both NII/non-NII in outer years. We see this led by Wealth (driven by Affluent segment opportunities), Financial Markets (alongside cross-border income) and Banking. We expect NII to be flat in FY26 y/y due to lower rates and pass throughs offset by volume growth. We expect cost growth at ~3.5% CAGR for '25-28E as we expect growing investments in the future to capitalize on productivity and revenue opportunities, with positive operating leverage annually and the CIR to decline towards mid-50s. Overall, we expect stated ROTE to grow to ~15%, alongside a 35% dividend payout ratio and \$2bn/y buybacks, offering a total yield of 7-8%/y. Maintain OW.

Valuation

Our Dec-26 PT of HK\$270 is derived from our DDM analysis with NAV discounted back to Dec-26 from FY28E and a fair P/B of 1.5x. Our key assumptions are a normalized ROE of 11.9% and a cost of capital of 9.3%.

Risks to Rating and Price Target

The key downside risks to our rating and price target include:

- **Macroeconomic risks:** Being an EM-focused bank, StanChart is exposed to general macroeconomic risk in EM such as slowdowns, inflationary pressures, depreciation of EM currencies and cross-border and political risks. Potential weakness in China macro and regional sovereign continue to be risks towards revenues and impairments in the near term, as well as geopolitical tensions creating a potential headwind.
- **Provisioning outlook:** We expect provisions to grow to above normalized levels by 2025 given growing pressures in the economic environment. An increase or decrease in provisions as a result of the economic outlook or with regards to specific cases poses a risk to our forecasts.
- **Regulatory uncertainty:** Standard Chartered remains exposed to the changes in the regulatory environment in the UK with capital requirements being set by the PRA in the UK. While StanChart has limited UK exposure, the group is still subject to regulatory changes such as Basel 4 and BoE stress tests.

Standard Chartered Plc (HK) (2888): Summary of Financials

Income Statement	FY24A	FY25A	FY26E	FY27E	FY28E	Balance Sheet	FY24A	FY25A	FY26E	FY27E	FY28E
Interest income	11,112	11,184	11,264	11,542	12,022	Cash and cash equivalents	48,168	48,168	48,168	48,168	48,168
Interest expense	-	-	-	-	-	Deposits with banks	58,872	58,872	58,872	58,872	58,872
Net interest income	11,112	11,184	11,264	11,542	12,022	Net loans	281,032	286,788	298,353	310,551	323,458
Non interest income	8,308	9,645	10,751	11,630	12,343	PP&E	2,425	2,425	2,425	2,425	2,425
o/w Fee income	-	-	-	-	-	Net intangibles	5,791	6,231	6,418	6,610	6,809
o/w Trading income	0	0	0	0	0	LT investments	404,628	468,699	494,373	521,353	549,913
Net revenues	19,420	20,829	22,015	23,172	24,365	Other assets	48,772	48,772	48,772	48,772	48,772
Non interest expense	(12,402)	(13,145)	(13,307)	(13,313)	(13,701)	Total assets	849,688	919,955	957,381	996,751	1,038,417
o/w Employee costs	-	-	-	-	-	Interest earning assets	400,674	407,310	419,249	431,832	445,135
Pre-Prov. Profits	7,018	7,684	8,708	9,859	10,664	Deposits	464,489	530,161	570,806	604,502	632,344
Provisions	(1,135)	(737)	(1,006)	(1,044)	(1,164)	Borrowings	66,359	67,907	67,730	67,550	67,366
Adj. PBT	6,432	7,860	7,764	8,877	9,562	Other liabilities	274,058	274,829	270,992	274,899	286,592
Income taxes	(1,972)	(1,866)	(2,174)	(2,397)	(2,582)	Total liabilities	804,906	872,897	909,529	946,951	986,302
Minority interest	8	(12)	(13)	(13)	(13)	Shareholder equity	44,388	46,593	47,387	49,335	51,650
Adj. Net profit	4,019	5,443	4,998	5,864	6,353	Minority interests	394	465	465	465	465
PPOP per share	2.76	3.29	3.97	4.69	5.29	Total liabilities and Shareholder equity	849,688	919,955	957,381	996,751	1,038,417
Reported EPS	1.38	1.90	2.26	2.75	3.10	Interest bearing liabilities	-	-	-	-	-
Adj. EPS	1.54	2.26	2.26	2.75	3.10	Book Value Per Share	18.43	20.74	22.12	23.96	26.14
DPS	0.37	0.61	0.79	0.96	1.09	Tangible Book Value Per Share	14.99	16.77	18.26	19.74	21.62
Diluted shares outstanding	2,610	2,404	2,214	2,130	2,047						
Balance Sheet Gearing	FY24A	FY25A	FY26E	FY27E	FY28E	Asset Quality/Capital	FY24A	FY25A	FY26E	FY27E	FY28E
Loans/Deposits	60.5%	54.1%	52.3%	51.4%	51.2%	Loan loss reserves/Loans	(1.4%)	(1.1%)	(1.0%)	(1.0%)	(1.0%)
Investment/Assets	45.7%	49.4%	51.3%	52.0%	52.6%	NPLs/Loans	2.2%	2.1%	2.0%	2.0%	1.9%
Loan/Assets	34.6%	32.6%	31.6%	31.6%	31.6%	Loan loss reserves/NPLs	61.6%	57.8%	51.8%	51.8%	51.8%
Customer deposits/Liabilities	57.7%	60.7%	62.8%	63.8%	64.1%	NPL y/y growth	(14.2%)	(3.9%)	1.0%	2.0%	2.0%
LT debt/Liabilities	8.1%	8.0%	7.6%	7.3%	7.0%	Tier 1 ratio	16.9%	16.6%	16.6%	16.6%	16.6%
						CAR	-	-	-	-	-
Ratio Analysis (%)	FY24A	FY25A	FY26E	FY27E	FY28E	Ratio Analysis (%)	FY24A	FY25A	FY26E	FY27E	FY28E
Net interest margin	2.1%	2.0%	1.9%	1.9%	1.9%	Return on equity (ROE)	9.0%	12.0%	10.6%	12.1%	12.6%
Non interest income/Net revenue	42.8%	46.3%	48.8%	50.2%	50.7%	Return on assets (ROA)	0.5%	0.6%	0.5%	0.6%	0.6%
Non interest income/Avg. Assets	1.0%	1.1%	1.1%	1.2%	1.2%	Operating ROA	0.8%	0.8%	0.8%	0.9%	0.9%
Efficiency ratio	63.9%	63.1%	60.4%	57.5%	56.2%	Pre-Tax ROA	0.8%	0.8%	0.8%	0.9%	0.9%
Leverage ratio	5.0%	4.9%	4.8%	4.8%	4.8%	Pre-Provision ROA	0.8%	0.9%	0.9%	1.0%	1.0%
Revenue/Assets	2.3%	2.4%	2.3%	2.4%	2.4%	Tax rate	32.8%	26.8%	28.0%	27.0%	27.0%
RORWA	1.6%	2.2%	1.9%	2.1%	2.2%						
						Net loans y/y growth	(2.1%)	2.0%	4.0%	4.1%	4.2%
RWA	247,065	258,031	269,486	281,287	293,466	Assets y/y growth	3.3%	8.3%	4.1%	4.1%	4.2%
Avg. RWA	245,608	252,548	263,758	275,386	287,376	RWA y/y growth	1.2%	4.4%	4.4%	4.4%	4.3%
Avg. IEA	407,963	403,992	413,279	425,541	438,484	Deposits y/y growth	(1.1%)	14.1%	7.7%	5.9%	4.6%
Gross Loans	285,936	290,849	302,455	314,735	327,725	Net interest income y/y growth	8.4%	0.6%	0.7%	2.5%	4.2%
Avg. IBL	0	0	0	0	0	Revenues y/y growth	9.4%	7.3%	5.7%	5.3%	5.1%
LLR	(3,948)	(3,087)	(3,118)	(3,180)	(3,244)	Adj. EPS y/y growth	27.5%	47.0%	(0.3%)	21.9%	12.7%
NPLs	6,203	5,964	6,024	6,144	6,267	BVPS y/y growth	9.4%	12.5%	6.7%	8.3%	9.1%
P/BV (x)	1.3	1.1	1.1	1.0	0.9	IE assets/Assets	48.8%	45.7%	44.0%	43.6%	43.1%
Adj. P/E (x)	15.2	10.4	10.4	8.5	7.6	Margins (as % of Avg. Assets)	1.3%	1.3%	1.2%	1.2%	1.2%
Dividend yield	1.6%	2.6%	3.4%	4.1%	4.6%	LLP/Loans	(0.2%)	(0.2%)	(0.3%)	(0.3%)	(0.4%)
Dividend payout	26.9%	32.3%	35.0%	35.0%	35.0%	Equity/Assets	5.3%	5.1%	5.0%	4.9%	5.0%
						Cost/Assets	1.5%	1.5%	1.4%	1.4%	1.3%
						Assets/Equity	18.8	19.5	20.0	20.2	20.2

Source: Company reports and J.P. Morgan estimates.

Note: \$ in millions (except per-share data). Fiscal year ends Dec

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Standard Chartered Plc (HK) (2888) (2888.HK, 2888 HK) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Sep 24, 2002. All share prices are as of market close on the previous business day.

Date	Rating	Price (HK\$)	Price Target (HK\$)
18-Apr-23	OW	63.05	78
28-Apr-23	OW	61.95	80
07-Jul-23	OW	66.55	83
01-Aug-23	OW	74.25	90
07-Sep-23	OW	69.20	91
27-Oct-23	OW	59.75	83
16-Jan-24	OW	61.55	79
18-Jan-24	OW	57.35	78
28-Feb-24	OW	63.35	80
10-Apr-24	OW	68.25	82
03-May-24	OW	71.95	86
31-Jul-24	OW	76.90	94
04-Dec-24	OW	96.80	112
17-Feb-25	OW	108.20	120
24-Feb-25	OW	116.00	135
22-Jul-25	OW	141.30	148
04-Aug-25	OW	141.30	162
19-Oct-25	OW	142.00	168
03-Nov-25	OW	157.80	190
05-Feb-26	OW	203.40	265
01-Mar-26	OW	198.50	270

The chart(s) show J.P. Morgan's continuing coverage of the stocks; the current analysts may or may not have covered it over the entire period.

J.P. Morgan ratings or designations: OW = Overweight, N= Neutral, UW = Underweight, NR = Not Rated

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Coverage Universe: Lei, Katherine : Agricultural Bank of China - A (601288.SS), Agricultural Bank of China - H (1288.HK), Bank of China - A (601988.SS), Bank of China - H (3988.HK), Bank of Communications - A (601328.SS), Bank of Communications - H (3328.HK), China Citic Bank - A (601998.SS), China Citic Bank - H (0998.HK), China Construction Bank - A (601939.SS), China Construction Bank - H (0939.HK), China Everbright Bank - A (601818.SS), China Everbright Bank - H (6818.HK), China Merchants Bank - A (600036.SS), China Merchants Bank - H (3968.HK), China Minsheng Banking - A (600016.SS), China Minsheng Banking - H (1988.HK), Futu Holdings (FUTU), HSBC Holdings plc (0005) (0005.HK), HashKey (3887.HK), Huaxia Bank - A (600015.SS), Industrial Bank - A (601166.SS), Industrial and Commercial Bank of China - A (601398.SS), Industrial and Commercial Bank of China - H (1398.HK), Lufax Holding (LU), Ping An Bank - A (000001.SZ), Postal Savings Bank of China (1658) (1658.HK), Qfin Holdings (QFIN), Shanghai Pudong Development Bank - A (600000.SS), Standard Chartered Plc (HK) (2888) (2888.HK)

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IB clients**	83%	79%	74%
JPMS Equity Research Coverage*	49%	39%	13%
IB clients**	94%	93%	85%

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